NATIONAL COMPANY LAW TRIBUNAL

GUWAHATI BENCH

GUWAHATI

CA(CAA)/05/2021

Coram: Hon'ble Shri H. V Subba Rao, Member (J) : Hearing through

Hon'ble Shri Prasanta Kumar Mohanty, Member (T) : Video Conferencing

ATTENDANCE-CUM-ORDER SHEET OF THE HEARING OF THE NATIONAL COMPANY TRIBUNAL, GUWAHATI BENCH ON 23.02.2021

Name of the Company: Zonet Cable TV Pvt. Ltd.

And

Zonet TV Pvt. Ltd.

Section of the Companies Act: Under Section 230 to 232 of the Companies Act ,2013.

S.No.	NAME (CAPITAL LETTERS)	DESIGNATION	REPRESENTATION	SIGNATURE
1.	MR. SAROJ RAY	CS	Petitioner	Present
2.	Mr Biman Debnath	FCS		in Video
				Conference
3.	Mr D.Sharma	Advocate		

ORDER

The Applicant is representaed through respective Learnd counsel(s).

The case is fixed for pronouncement of order.

The order is pronounced in the open court, vide separate sheet.

Sd/-

(Prasanta Kumar Mohanty)

Member (Technical)

Sd/-

(H.V Subba Rao)

Member (Judicial)

Dated this the 23rd Day of February,2021

Order

[Per se: Prasanta Kumar Mohanty, Member (T)]

1. The Applicant Company submitted that the Board of Directors of the Demerged Company and the Resulting Company, have at their respective meetings, by resolution passed unanimously, approved the said Scheme of Arrangement. Copies of the said board resolutions of the Demerged Company and the Resulting company are annexed hereto and collectively marked as **Annexure "I".**

2. The circumstances which justify and/0r necessitate the said Scheme of Arrangement are, inter-alia, as follows:-

i) The Demerged Company is engaged in 2 (Two) distinct lines of business namely:

a) Information Communication and Broadcasting service and up link of News and Current Affairs Channel in all languages throughout India (collectively referred to as the "Broadcasting Business'); and

b) Distribution of Cable TV Network in the state of Mizoram (referred to as the "Cable Distribution Business");

ii) The nature of risk and competition involved in each of the Broadcasting Business and cable Distribution Business is distinct, necessitating different management approaches and focus. Moreover, the competitive dynamics of these business are also different.

iii) The Separation of the Broadcasting Business, by way of this Scheme from the Demerged Company would lead to significant benefits for both business including:

i) Enable a dedicated management focus and to accelerate growth of the Broadcasting and cable Distribution Business unlocking significant value for the shareholders of Zonet Cable TV Private Limited and;

ii) Access to varied sources of funds for the rapid growth of broadcasting businesses.

iv) With a view to achieve the aforesaid growth potential, the Demerged Company Proposes to re-organize and segregate, by way of the scheme, its business, undertaking and investments in the Cable Distribution Business.

v) The Scheme does not have any adverse effect on either the shareholders of the employees or the Creditors of the Demerged Company.

3. The Directors common to the Demerged Company and the Resulting Company.

Name of Director/KMPs of Demerged Company and Resulting Company	Director in the Demerged Company as on (31.10.2020)	Director in the Resulting company as on (31.10.2020)
Mr. SapdangaKhawlhring	Yes	Yes
Mr. VanneihTluanga	Yes	Yes
Mr.LeivangaLalthanluanga	Yes	Yes
Mr.Lalnunpuia	Yes	Yes
Mr. Susant Kumar Rout	Yes	No
Mr. Sanjib Kumar Mallick	Yes	No

The following KMP/Directors of the Demerged Company hold the following number of shares in the Resulting Company:

Name of Director/KMPs	Shares held in the Demerged Company as on (31.10.2020)	Share held in the resulting Company as on (31.10.2020)
Mr. SapdangaKhawlhring	17,30,619	11154
Mr. VanneihTluanga	13,93,119	8979
Mr.LeivangaLalthanluanga	1,00,000	645

Mr.Lalnunpuia	1,00,000	645
Mr. Susant Kumar Rout	NIL	-
Mr. Sanjib Kumar Mallick	NIL	-

Save as aforesaid, none of the directors of KMPs of the applicant companies is concerned or interest in the proposed Scheme.

4. The Scheme embodies the arrangement between the Demerged company and the Resulting Company and their respective shareholders. No variation in terms or any compromise shareholders. No variation in terms or any compromise or arrangement is proposed under the Scheme with any of the creditors of the applicants. The Aggregate assets of the Demerged Company and /or the Demerged Undertaking are more than sufficient to meet their aggregate liabilities. The said scheme will not adversely affects the rights of any of the creditors of the Applicant companies any manner wat so ever as due provision have been made for payment of all liabilities as and when the same fall due in usual course.

5. There are no proceedings pending under Section 210 -227 of the companies Act 2013 and/or sections 235 to 251 of the companies Act 1956 against the Demerged Company and the Resulting Company.

6. Upon the effectiveness of the Scheme and in consideration of the transfer and vesting of the Demerged undertaking into the Resulting company pursuant to provisions of this Scheme, the Resulting Company shall, without an further Act or Deed, issue and allot each shareholder of the Demerged company, whose name is recorded in the register of members and records of the depository as members of the Demerged company, on the Record date, 1(one) equity share of Rs 10 (Indian Rupees Ten) each of Resulting company credited as fully paid up for every 1 (one) equity share of Rs 10 (Indian Rupees Ten) each held by such share holder in the demerged company. The share exchange ratio has been arrived at on the basis of the Valuation Report of CA, Vidhi Chandak, registered valuer with IBBI Registration No: IBBI/RV/06/2019/11186. Under the scheme, the Resulting Company shall record the assets and liabilities pertaining to the Demerged undertaking at the respective book values as appearing in the books of the Demerged Company. Upon Demerger, all the shareholders of the Demerged Company will become shareholders of the

Resulting Company. A copy of the valuation report is enclosed and marked as **"J"**

7. **The respective auditors of the Demerged Companies and the Resulting Company have also confirmed that the accounting treatment contained in the Scheme is in compliance with Accounting Standards prescribed under companies Act 2013 and other Generally accepted accounting Principles. A copy of each of the said certificates is enclosed and collectively marked "K"**

8. The Applicants in the present Company Application have narrated about the rational and the operation of the proposed Company scheme, which are being reproduced below:

A. <u>RATIONALE OF THE SCHEME:</u>

i) The Demerged Company is engaged in 2(two) distinct lines of business namely:

a) Information, Communication and Broadcasting service as news and Current Affairs Channel category in all languages throughout India (referred to as the "Broadcasting Business"); and

b) Distribution of Cable TV Network in the State of Mizoram (referred to as the "Cable Distribution Business")

ii) The nature of risk and competition involved in each of the Broadcasting Business and Cable Distribution business is distinct, necessitating different management approaches and focus. Moreover, the competitive dynamics of these business are also different.

iii) The separation of the cable Distribution Business, by way of this Scheme from the Demerged Company would lead to significant benefits for both business including:

a) enable a dedicated management focus and to accelerate growth of the Broadcasting Business and Cable Distribution Business unlocking significant value for the shareholders of Zonet Cable TV private Limited;

b) access to varied sources of funds for the rapid growth of both businesses;

c) create enhanced value for all stakeholders of the respective companies involved in the Scheme ; and

d) reorganize businesses of optimize for operational efficiency, rationalize for cost and streamline for growth, capital raising and strategic partnerships.

iv) With a view to achieve the aforesaid growth potential, the Demerged Company proposes to reorganize and segregate, by way of the Scheme, its business, undertaking and investments and in the Broadcasting Business which requires huge investment and has rapid growth potential.

v) The separation of Broadcasting Business will draw the attention of investors from all over the country ready to invest in the Broadcasting Business.

vi) The reduction in share capital of the Demerged Company is to enable the Demerged Company to have an equitable share capital in proportion to its size and requirements post demerger of the Cable Distribution Business of the Demerged Company.

vii) The Scheme does not have any adverse effect on either the shareholders or the employees or the creditors of the Demerged Company.

B. OPERATION OF THE SCHEME:

i) Demerged Undertaking of the Demerged Company is proposed to be demerged, pursuant to section 230 and 232 of the Companies Act,2013, and /or any other Applicable Laws and be transferred to the resulting Company for achieving the above-mention objectives.

ii) The Resulting Company shall, issue allot of shares to all the shareholders of the Demerged Company as consideration for the transfer of the Demerged undertaking in proportion to their shareholding in the demerged Company. The demerger of the Demerged undertaking in accordance with this Scheme shall take effect from the Appointed Date and that will be in accordance with Section 2(19AA), Section 2(19AAA) and Section 2(41A) of the Income Tax ,1961, such that:

a) all the properties of the Demerged Undertaking as on the Appointed Date shall be transferred to and become the properties of the Resulting Company by virtue of this Scheme;

b) all the liabilities related to the Demerged Undertaking, as on the Appointed Date shall become the liabilities of the Resulting Company by virtue of this Scheme;

c) the properties and the liabilities related to the Demerged Undertaking shall be transferred to the Resulting Company at the value appearing in the books of account of the Demerged Company immediately before this demerger;

d) the Resulting Company shall issue, in consideration of this demerger, its equity shares to the shareholders of the Demerged Company as on the Record Date on a proportionate basis;

e) all the shareholders of the Demerged Company as on the Record Date shall become the shareholders of the Resulting Company by virtue of this demerger; and

f) the transfer of the Demerged Undertaking shall be on a going concern basis.

9. The necessary particulars about the Applicants Companies submitted by the Applicant is being reproduced herein below:

Sr. No. A	Demerged Company	ZONET CABLE TV PVT. LTD.
A1.	Incorporation	25th day of March,2011
A2	CIN	U92100MZ2011PTC008262
A3	PAN	AABCZ6050B

A4	Registered Office	Zorum, 3rd Floor, Rev. Zairema Building, Zarkawt, Aizawl-796001,Mizoram
A5.	Shares	Authorized Share Capital is Rs. 5,00,00,000/- and Issued, Subscribed and Paid-up Capital as on 31st March,2020 was Rs. 4,65,43,570/-
A6.	Objects of Company (In Brief)	• To run and own Cable Television Network, Electronic Media Entertainment and information channel, satellite up linking and all services in relation thereto. • To own establish, equip ,maintain , hire, out audio and video production studio and other facilities, including sound recording and editing studios, video recording and editing studios, film processing laboratory, exhibition studios, cinema hall, shooting units, and all other pre and post production facilities, machineries, equipments as may be required in connection therewith. • To manufacture, assemble, import, export, give or take on rent lease and other deal in film and television, video cassettes, photographic equipments, audio/video recording and processing equipments,

		multimedia /audio /video graphics development and production equipments, computer, reprographic equipments,communication equipments and others spares, chemicals, components, accessories required in connection therewith. • To take over the running business of the firm of the promoter M/S. Zonet Cable TV Network.
A7	Business	Shortly after incorporation, the Demerged Company commenced its business. The Demerged Company got license for distribution of Television cable Network in the state of Mizoram and License to uplink non news and Current Affairs Channel namely "Zonet" vide letter No 1404/47 (ii) 2011-TV(i)/65 dated 30.09.2011 and 09.12.2011 issued by Ministry of Information and Broadcasting (MIB), Government of India , thereafter obtained change of category in the License from Non news and Current Affair Channel to news and Current Affair Channel category in all Indian languages from afore said Ministry vide letter dated 0306- 2014 for its Company Zonet Cable Tv Private Limited .Subsequently, the Demerged Company has also procured the

		WPC permission to uplink the channel . At present the Demerge Company is engaged in the businesses of (i)Information, Communication an Broadcasting service and uplink of News and Current Affair channel in all languages through out India (collectively referred to as the "**Broadcasting Business")** ; and ii) Distribution of Cable Tv Network I the state of Mizoram (Referred to as the "**Cable Distribution Business**").
Sl.no B	RESULTING COMPANY	ZONET TV PVT. LTD.
B1	Incorporation	7th October,2020
B2	CIN	U92100MZ2011PTC008262
B3	PAN	AABCZ6050B
B4	Registered Office	Zorun,Zairema Building, Zarkawt Aizawal-796007, Mizoram
B5	Shares	Authorized Share Capital of Rs. 2,00,00,000/- and Issued, Subscribed and Paid-up Capital of Rs.3,00,000/-
B6	Objects of Company (In Brief)	• To Run and own Cable Television Network, Electronic Media Entertainment and Information channel,

		Satellite up linking and all services in relation thereto. • To own establish, equip, maintain, hire, out audio and video production studio and other facilities, including sound recording and editing studios, video recording and editing studios, film processing laboratory, exhibition studios, cinema halls, shooting units, and all • other pre and post production facilities, machineries, equipments as may be required in connection therewith. • To manufacture, assemble, import, export, give or take on rent/lease and other deal in film and television, video cassettes, photographic equipments, audio/video recording and processing equipments, multimedia/audio/video graphics development and production equiments, computers, reprographic equipmennts, communication equipments and others spares, chemicals, components accessories and others spaces, chemicals, components, accessories and others spares, chemicals,

		components accessories required in connection therewith. • To amalgamate, merge, demerge and enter into arrangement with any company or association.
B7	Business	The Resulting Company has been incorporated for the purposes of undertaking the business of Cable Television Network, Electronic Media Entertainment, Information channel and Satellite uplinking.

10. (a) As on 31st October, 2020, the Demerged Company had 12 Equity shareholders and 2 no of Secured Creditor and 1 no of Unsecured Creditor. A list of the Equity Shareholders, Secured Creditor and Unsecured Creditor of the Demerged Company as certified by the Chartered Accountants are annexed hereto and marked as "L".

    (b) As on 31st October, 2020, the Resulting Company had 12 Equity Shareholders, 4 no of Unsecured Creditors and no (Nil) Secured Creditors. A list of the Equity Shareholders, Unsecured Creditors and Nil Secured Creditors of the Resulting Company as certified by the Chartered Accountants are annexed hereto and marked as **"M"**

11. All the equity shareholders, secured creditor and unsecured creditor of the Demerged Company have, by affidavits given their consent to the said Scheme of Arrangement. The respective Affidavits, in original are annexed hereto and collectively marked **"N".**

12. All the equity shareholders and unsecured creditors of the Resulting Company have, by affidavits given their consent to the said Scheme of Arrangement. As there are no secured creditors in the Resulting Company the question of their

consent does not arise. The respective affidavits, in original are annexed hereto and marked as **"O"**.

13. In the view of specific consents by affidavits being provided by all the Equity Shareholders, secured and unsecured creditors of the Demerged Company and all the Equity Shareholders and unsecured creditors of the Resulting Company, and considering and the number of such shareholders, secured and unsecured creditors being very small in number convening of separate meetings to consider the said Scheme will be a futile exercise resulting in unnecessary expenditure and delay and is not necessary.

14. The Sectoral/Statutory/ regulatory authority involved in this Scheme are i) Regional Director, North Eastern Region; ii) Registrar of Companies, Guwahati; iii) Official Liquidator, Guwahati; iv) Concerned Income Tax authorities; v) Ministry of Information and Broadcasting and the applicants are seeking orders to serve notice on such sectoral/ statutory/ regulatory authorities. The Demerged Company and Resulting Company are unlisted Companies and hence no notice is required to be send to Stock Exchanges. The Competition Commission of India regulations are not applicable to the Applicant Companies in terms of total values of assets and/or turnover of the Applicant Companies. Hence, it is not necessary to serve the scheme of Arrangement on the said authority of any other sectoral authorities.

15. In view of the aforesaid, it is submitted that this Hon'ble Tribunal be pleased to dispense with convening of meeting of equity shareholders, secured creditor and unsecured creditors of the Demerged Company and convening of meeting of equity shareholders of the resulting Company to consider the said Scheme.

16. The Applicant companies have prayed for the following reliefs:

a) Dispense with the meeting of the equity shareholders of the Applicant Companies in view of the written consent given by all of the equity shareholders of the Applicant Companies (i.e. the Demerged Company and Resulting company) by way of affidavit;

b) Dispense with the meetings of Secured creditor of the Demerged Company in view of the written consent given by the only Secured creditor by way of affidavit;

c) Dispense with the meetings of Unsecured creditors of the Applicant Companies in view of the Written consent given by all of them of the Applicant Companies (i.e. the Demerged company and Resulting Company) by way of affidavit;

d) To sanction the proposed Scheme of Demerger of the Applicant Companies.

17. It is stated that the Applicant Demerge Company is having 12 (Twelve) equity shareholders, Two secured creditors and One unsecured creditor as on 31 December, 2020. All of them have, by affidavits given their consent to the said Scheme of Arrangement which is annexed at Annexure "N". Hence, its meeting needs to be dispensed with.

18. So, far as the Resulting Company is concerned there are 12 (Twelve) equity shareholders, four unsecured creditors and Nil Secured Creditor. All of them have given their consents by way of affidavits for approval of the proposed company scheme of Arrangement which is annexed at Annexure "O".

19. As there are no secured creditors in the Resulting Company the question of their consent does not arise. Hence their meeting needs to be dispensed with.

20. It is submitted that specific consents by affidavits being provided by all the Equity Shareholders, secured and unsecured creditors of the Demerged Company which is marked as annexure "L"

21. It is further submitted that specific consents by affidavits being provided by all the Equity Shareholders and unsecured creditors of the resulting Company which marked as annexure "M"

22. Hence considering the number of such shareholders, secured and unsecured creditors being very small in number, convening of separate meetings to consider the said Scheme is not necessary**.**

23. **The Applicant Companies in compliance to the direction given in the order dated 20th January, 2021, of this Hon'ble Tribunal, have submitted the Audited Financial Statement for the period from 07th October, 2020**

to 31st December, 2020 of the M/S Zonet TV Private Limited, the Resulting Company, in form of an affidavit dated 25th January, 2021. The Auditor Report has been submitted by Mr. Sandeep S Sharma,CA wherein it is stated :

Report on other Legal and Regulatory Requirements:

1. **As required by the Companies (Auditor's Report) Order 2016 ("the Order"), issued by the Central Government of India in terms of subsection (11) of Section 143 of the Companies Acrrt,2013, is not applicable to the company the matters specified in paragraphs 3 and 4 of the Order, has not been incorporated in the audit report.**

2. **As required by Section 143 (3) of the Act, we report that:**

   a) **We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit.**

   b) **In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books.**

   c) **The Balance Sheet, the statement of Profit and Loss dealt with by this Report are in agreement with the books of account.**

   d) **In our opinion, the aforesaid financial statements comply with the Accounting Standards specified under Section 133 of the Act, read with Rule7 of the Companies (Accounts) Rules, 2014.**

   e) **On the basis of the written representations received from the directors as on 31st December, 2020 taken on record by the Board of Directors, none of the Directors is disqualified as on 31st December,2020 from being appointed as a director in terms of Section 164 (2) of the Act.**

   f) **With respect to the adequacy of the internal financial controls with reference to financial statements of the same under**

clause(i) of the Sub-section3 of Section 143 is not applicable vide Notification F. No 1/1/2014-CL-V date 13/06/2017.

g) With respect to the other matters to be included in the Auditor's report in accordance with the requirements of Section 197(16) of the Act as amended, we report that Section 197 is not applicable to a private Company. Hence reporting as per Section 197(16) is not required.

h) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:

i. The Company does not have any pending litigations which would impact its financial position.
ii. The Company did not have any long-term contracts including derivative contracts for which there were any material foreseeable losses.
iii. There were no amounts which were required to be transferred to the Investor Education and Protection Fund by the Company.

<u>Basis of Accounting:</u> The Accounts have been prepared on the basis of historical cost convention and on ongoing concern basis and materially comply with the mandatory Accounting Standard issued by the ICAI.

Related Party Transactions:

Parties where control exists:	Nature of Relationship
a) Mr. Van Neil Tluanga	Director & Shareholder
b) Mr. Sapdanfa Khawlhring	Director & Shareholder
c) Mr. Lalnunpuia	Director & Shareholder
d) Mr. Leivang Lalthantluanga	Director & Shareholder

24. The Applicant Companies have further submitted the **General Circular No 09/2019 of Ministry of Corporate Affairs** relating to the clarification regarding "Appointed Date" under Section 232(6) of the Companies Act, 2013. The relevant paragraph is quoted below:

"6. In view of the above, it is hereby clarified that:

a) The provision of section 232(6) of the Act enables the companies in question to choose and state in the scheme an 'appointed date'. This date may be a specific calendar date or may be tied to the occurrence of an event such as grant of license by a competent authority of fulfilment of any preconditions agreed upon by the parties, or meeting any other requirement as agreed upon between the parties, etc., which are relevant to the scheme."

25. Having heard the learned counsel for the Applicant Companies and by perusal of the records, we feel that the prayer as being sought for by the Applicant companies appear to be reasonable and bona fide. The present company Applications deserve to be allowed. Accordingly, it is allowed in terms of its prayer clause with following directions: -

i. Meetings of the equity Shareholders, Secured and Unsecured Creditors of Zonet Cable TV Pvt. Ltd., the applicant Demerger Company and Meetings of the equity Shareholders, and Unsecured Creditors and Zonet TV Pvt. Ltd. the Applicant Resultant Company are hereby dispensed with, in the light of the consent letters on affidavit, placed on record annexed as **Annexure "N" and "O".**

ii. Since there is **NIL** Secured Creditor of the Applicant Resultant Company as per the certificates of the auditors of the Company annexed and marked as **Annexure "M"**, its meeting is dispensed with.

iii. The Appointed date is 01/11/2020 as resolved in the Board Meeting of both Applicant Companies.

iv. In compliance of sub-section (5) of Section 230 of the Act and Rule 8 of the Companies (CAA) Rules, the Applicant Companies shall send a Notice of meeting in Form No. CAA 3 with a copy of the

Scheme of Arrangement, the Explanatory Statement and the disclosures mentioned under Rule 6 (to the extent applicable) to:

(a) The Central Government through the Regional Director, North Eastern Region,
(b) the Registrar of Companies, Guwahati
(c) the Income Tax Authorities of the concerned areas;
(d) the Official Liquidator, North eastern Region

stating that representations, if any, to be made by them shall be made within a period of 30 (Thirty) days from the date of receipt of such notice, failing which it will be deemed that they have no objections to make on the proposed Scheme of Arrangement. The said notices shall be sent to the above Statutory authorities forthwith, after the notices for meeting to the concerned Unsecured Creditors of the Applicant Transferee Company are sent, either by Registered Post or by Speed Post or by Courier or by Hand Delivery at the office of the authorities as required by sub-rule (2) of Rule 8 of the Companies (CAA) Rules, 2016. The aforesaid authorities who desire to make any representation under sub-section (5) of Section 230 shall send the same to this Tribunal with a copy of the same to be sent to the Applicant Companies within a period of 30 (Thirty) days from the date of such service.

26. With the aforesaid directions/observations, **CA (CAA) No. 05/GB/2021** is allowed and stands disposed of accordingly.

Sd/-

(Prasanta Kumar Mohanty)
Member (Technical)

Sd/-

(H.V Subba Rao)
Member (Judicial)